**Report of the Directors and**

**Financial Statements for the Year Ended 31 March 2013**

**for**

**Mindteck (UK) Limited**

## Contents of the Financial Statements for the Year Ended 31 March 2013

# Mindteck (UK) Limited

## Company Information
## for the Year Ended 31 March 2013

| | |
|---|---|
| **DIRECTORS:** | S Christopher<br>J D Underwood<br>Dr A M A K Vakil |
| **REGISTERED OFFICE:** | 2 Clarendon Road<br>Ashford<br>Middlesex<br>TW15 2QE |
| **REGISTERED NUMBER:** | 03051828 (England and Wales) |
| **SENIOR STATUTORY AUDITOR:** | Mr Dominic Joseph J de Lord FCCA |
| **AUDITORS:** | Crick Heitman<br>Chartered Certified Accountants<br>and Statutory Auditors<br>2 Clarendon Road<br>Ashford<br>Middlesex<br>TW15 2QE |
| **BANKERS:** | HSBC Bank Plc<br>Holborn Circus<br>31 Holborn<br>London<br>EC1N 2HR |

# Report of the Directors for the Year Ended 31 March 2013

The directors present their report with the financial statements of the company for the year ended 31 March 2013.

## PRINCIPAL ACTIVITY

The principal activity of the company in the year under review was that of computer software design and the provision of computer consultancy services which the reporting entity will pursue for the foreseeable future.

## DIRECTORS

Dr A M A K Vakil has held office during the whole of the period from 1 April 2012 to the date of this report.

Other changes in directors holding office are as follows:

W Berkowitz - appointed 7 May 2012
S Christopher - appointed 7 May 2012
J D Underwood - appointed 7 May 2012
V R Suresh Rao - resigned 7 May 2012

W Berkowitz ceased to be a director after 31 March 2013 but prior to the date of this report.

## STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

## STATEMENT AS TO DISCLOSURE OF INFORMATION TO AUDITORS

So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditors are aware of that information.

This report has been prepared in accordance with the special provisions of Part 15 of the Companies Act 2006 relating to small companies.

**ON BEHALF OF THE BOARD:**

Dr A M A K Vakil - Director

11 September 2013

## Report of the Independent Auditors to the Members of Mindteck (UK) Limited

We have audited the financial statements of Mindteck (UK) Limited for the year ended 31 March 2013 on pages four to ten. The financial reporting framework that has been applied in their preparation is applicable law and the Financial Reporting Standard for Smaller Entities (effective April 2008) (United Kingdom Generally Accepted Accounting Practice applicable to Smaller Entities).

**Respective responsibilities of directors and auditors**

As explained more fully in the Statement of Directors' Responsibilities set out on page two, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

**Scope of the audit of the financial statements**

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Report of the Directors to identify material inconsistencies with the audited financial statements. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

**Opinion on financial statements**

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2013 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice applicable to Smaller Entities; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

**Opinion on other matter prescribed by the Companies Act 2006**

In our opinion the information given in the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements.

**Matters on which we are required to report by exception**

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to prepare the financial statements in accordance with the small companies regime and take advantage of the small companies' exemption in preparing the Report of the Directors.

Mr Dominic Joseph J de Lord FCCA (Senior Statutory Auditor)
for and on behalf of Crick Heitman
Chartered Certified Accountants
and Statutory Auditors
2 Clarendon Road
Ashford
Middlesex
TW15 2QE

11 September 2013

## Mindteck (UK) Limited (Registered number: 03051828)

### Profit and Loss Account
### for the Year Ended 31 March 2013

| | Notes | 31.3.13 £ | £ | 31.3.12 £ | £ |
|---|---|---|---|---|---|
| **TURNOVER** | 2 | | 2,292,943 | | 2,459,050 |
| Cost of sales | | | 1,896,628 | | 1,968,508 |
| **GROSS PROFIT** | | | 396,315 | | 490,542 |
| Distribution costs | | 214,340 | | 290,805 | |
| Administrative expenses | | 87,774 | | 86,568 | |
| | | | 302,114 | | 377,373 |
| | | | 94,201 | | 113,169 |
| Other operating income | | | 13 | | 15 |
| **OPERATING PROFIT and PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION** | 3 | | 94,214 | | 113,184 |
| Tax on profit on ordinary activities | 4 | | - | | - |
| **PROFIT FOR THE FINANCIAL YEAR** | | | 94,214 | | 113,184 |

The notes form part of these financial statements

## Mindteck (UK) Limited (Registered number: 03051828)

### Balance Sheet
### 31 March 2013

| | Notes | 31.3.13 £ | £ | 31.3.12 £ | £ |
|---|---|---|---|---|---|
| **FIXED ASSETS** | | | | | |
| Tangible assets | 5 | | 5,590 | | 13,266 |
| Investments | 6 | | 35,912 | | 35,912 |
| | | | 41,502 | | 49,178 |
| **CURRENT ASSETS** | | | | | |
| Debtors | 7 | 541,900 | | 577,972 | |
| Cash at bank and in hand | | 314,625 | | 233,005 | |
| | | 856,525 | | 810,977 | |
| **CREDITORS** | | | | | |
| Amounts falling due within one year | 8 | 831,858 | | 888,200 | |
| **NET CURRENT ASSETS/(LIABILITIES)** | | | 24,667 | | (77,223) |
| **TOTAL ASSETS LESS CURRENT LIABILITIES** | | | 66,169 | | (28,045) |
| **CAPITAL AND RESERVES** | | | | | |
| Called up share capital | 11 | | 968,408 | | 968,408 |
| Profit and loss account | 12 | | (902,239) | | (996,453) |
| **SHAREHOLDERS' FUNDS** | | | 66,169 | | (28,045) |

The financial statements have been prepared in accordance with the special provisions of Part 15 of the Companies Act 2006 relating to small companies and with the Financial Reporting Standard for Smaller Entities (effective April 2008).

The financial statements were approved by the Board of Directors on 11 September 2013 and were signed on its behalf by:

Dr A M A K Vakil - Director

The notes form part of these financial statements

## Notes to the Financial Statements for the Year Ended 31 March 2013

### 1. ACCOUNTING POLICIES

**Preparation of consolidated financial statements**
The financial statements contain information about Mindteck (UK) Limited as an individual company and do not contain consolidated financial information as the parent of a group. The company has taken the option under Section 398 of the Companies Act 2006 not to prepare consolidated financial statements.

**Accounting convention**
The financial statements have been prepared under the historical cost convention and in accordance with the Financial Reporting Standard for Smaller Entities (effective April 2008).

**Turnover**
Turnover is the total amount receivable by the company for services provided, excluding VAT.

**Tangible fixed assets**
Depreciation is provided at the following annual rates in order to write off each asset over its estimated useful life.

Fixtures and fittings - 15% on reducing balance
Computer equipment - 33% on reducing balance

**Deferred tax**
Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date.

**Foreign currencies**
Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

**Hire purchase and leasing commitments**
Rentals paid under operating leases are charged to the profit and loss account on a straight line basis over the period of the lease.

### 2. TURNOVER

The turnover and profit before taxation are attributable to the one principal activity of the company.

An analysis of turnover by geographical market is given below:

| | 31.3.13 | 31.3.12 |
|---|---|---|
| UK | 79.40% | 62.33% |
| Europe | 5.97% | 16.69% |
| Rest of the world | 14.63% | 20.98% |
| | 100.00% | 100.00% |

### 3. OPERATING PROFIT

The operating profit is stated after charging:

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Depreciation - owned assets | 7,771 | 5,122 |
| Auditors' remuneration | 4,775 | 2,295 |
| Foreign exchange differences | 11,465 | 10,223 |



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3. **OPERATING PROFIT - continued**

| | | |
|---|---|---|
| Directors' remuneration and other benefits etc | 61,711 | - |

4. **TAXATION**

**Analysis of the tax charge**
No liability to UK corporation tax arose on ordinary activities for the year ended 31 March 2013 nor for the year ended 31 March 2012.

5. **TANGIBLE FIXED ASSETS**

| | Plant and machinery etc £ |
|---|---|
| **COST** | |
| At 1 April 2012 | 50,705 |
| Additions | 95 |
| At 31 March 2013 | 50,800 |
| **DEPRECIATION** | |
| At 1 April 2012 | 37,439 |
| Charge for year | 7,771 |
| At 31 March 2013 | 45,210 |
| **NET BOOK VALUE** | |
| At 31 March 2013 | 5,590 |
| At 31 March 2012 | 13,266 |

6. **FIXED ASSET INVESTMENTS**

| | Shares in group undertakings £ |
|---|---|
| **COST** | |
| At 1 April 2012 and 31 March 2013 | 35,912 |
| **NET BOOK VALUE** | |
| At 31 March 2013 | 35,912 |
| At 31 March 2012 | 35,912 |



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## 6. FIXED ASSET INVESTMENTS - continued

The company's investments at the balance sheet date in the share capital of companies include the following:

**Mindteck Netherlands B V**
Country of incorporation: Netherlands
Nature of business: Software and information technology

| Class of shares: | % holding |
|---|---|
| Ordinary | 100.00 |

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Aggregate capital and reserves | (5,317) | (5,292) |
| Loss for the year | (35) | (3,643) |

**Mindteck GmbH**
Country of incorporation: Germany
Nature of business: Software and information technology

| Class of shares: | % holding |
|---|---|
| Ordinary | 100.00 |

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Aggregate capital and reserves | 42,531 | 19,619 |
| Profit/(loss) for the year | 22,687 | (5,368) |

## 7. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Trade debtors | 357,478 | 309,722 |
| Amounts owed by group undertakings | 36,467 | 139,579 |
| Other debtors | 147,955 | 128,671 |
| | 541,900 | 577,972 |

## 8. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Trade creditors | 192,153 | 49,989 |
| Amounts owed to group undertakings | 560,048 | 669,409 |
| Taxation and social security | 41,778 | 53,492 |
| Other creditors | 37,879 | 115,310 |
| | 831,858 | 888,200 |



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## 9. OPERATING LEASE COMMITMENTS

The following operating lease payments are committed to be paid within one year:

| | 31.3.13 | 31.3.12 |
|---|---|---|
| | £ | £ |
| Expiring: | | |
| Within one year | 18,991 | - |
| Between one and five years | - | 32,556 |
| | 18,991 | 32,556 |

## 10. SECURED DEBTS

The company's bankers hold a fixed charge over book debts and a floating charge over all the other company's assets.

## 11. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

| Number: | Class: | Nominal value: | 31.3.13 £ | 31.3.12 £ |
|---|---|---|---|---|
| 968,408 | Ordinary | £1 | 968,408 | 968,408 |

## 12. RESERVES

| | Profit and loss account £ |
|---|---|
| At 1 April 2012 | (996,453) |
| Profit for the year | 94,214 |
| At 31 March 2013 | (902,239) |

## 13. ULTIMATE PARENT COMPANY

As at 31st March 2013 the company is a wholly owned subsidiary of Mindteck (India) Ltd, a company incorporated in India.

The company's ultimate parent company and controlling party is TransCompany Limited, incorporated in British Virgin Islands.

The largest and smallest undertaking in whose financial statements the company is included in Mindteck (India) Limited, incorporated in India. Copies of its group financial statements are available from 16/3 Cambridge Road, Bangalore 560008, India.



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## 14. RELATED PARTY DISCLOSURES

| Year ended 31 March 2013 | Sales/cost recharges to related party £ | Purchases/cost recharges from related party £ | Balance (payable to)/due from related party as at the balance sheet date £ |
|---|---|---|---|
| Mindteck (India) Limited | - | 950,558 | (429,486) |
| Mindteck Netherlands BV | - | - | 6,993 |
| Mindteck Germany GmbH | - | - | - |
| Mindteck Inc | 335,475 | 2,534 | (101,088) |

| Year ended 31 March 2012 | Sales/cost recharges to related party £ | Purchases/cost recharges from related party £ | Balance (payable to)/due from related party as at the balance sheet date £ |
|---|---|---|---|
| Mindteck (India) Limited | 150,000 | 1,276,450 | (470,516) |
| Mindteck Netherlands BV | - | - | 10,289 |
| Mindteck Germany GmbH | 2,218 | 84,492 | 74,579 |
| Mindteck Inc | 367,314 | 558 | (144,182) |

Mindteck (UK) Limited and Mindteck Inc are wholly owned subsidiaries of Mindteck (India) Limited.

Mindteck Germany GmbH and Mindteck Netherlands BV are wholly owned subsidiaries of Mindteck (UK) Limited.

**Mindteck (UK) Limited (Registered number: 03051828)**

**Trading and Profit and Loss Account for the Year Ended 31 March 2013**

| | 31.3.13 | | 31.3.12 | |
|---|---|---|---|---|
| | £ | £ | £ | £ |
| **Consulting income** | | 2,292,943 | | 2,459,050 |
| **Cost of sales** | | | | |
| Bangalore project sales | 847,136 | | 1,253,059 | |
| Consultants fees | 829,717 | | 535,113 | |
| Project salaries | 204,081 | | 165,904 | |
| Project salaries NIC | 15,111 | | 12,170 | |
| Leave encashment | 391 | | - | |
| Project travel and subsistence | 192 | | 2,262 | |
| | | 1,896,628 | | 1,968,508 |
| **GROSS PROFIT** | | 396,315 | | 490,542 |
| **Other income** | | | | |
| Sundry receipts | | 13 | | 15 |
| | | 396,328 | | 490,557 |
| **Expenditure** | | | | |
| Directors' salaries | 61,711 | | - | |
| Sales salaries | 106,968 | | 253,901 | |
| Sales salaries NIC | 18,915 | | 17,595 | |
| Sales travel and subsistence | 26,746 | | 19,309 | |
| Rent | 29,296 | | 27,216 | |
| Insurance | 247 | | 471 | |
| Telephone | 141 | | 8,090 | |
| Postage and stationery | 2,343 | | 2,688 | |
| Travelling | - | | 1,213 | |
| Repairs and renewals | 33 | | 559 | |
| Corporate costs | 9,340 | | 9,203 | |
| Sundry expenses | 858 | | 879 | |
| Legal and professional fees | 16,332 | | 2,589 | |
| Bad debts | - | | 7,629 | |
| Provision for leave encashment | (2,539) | | 662 | |
| Auditors' remuneration | 4,775 | | 2,295 | |
| Auditors' remuneration for non audit work | 1,200 | | 3,357 | |
| Foreign exchange loss / (gain) | 11,465 | | 10,223 | |
| Depreciation of tangible fixed assets | 7,771 | | 5,122 | |
| Entertainment | 1,847 | | 946 | |
| | | 297,449 | | 373,947 |
| | | 98,879 | | 116,610 |
| **Finance costs** | | | | |
| Bank charges | | 4,665 | | 3,426 |
| **NET PROFIT** | | 94,214 | | 113,184 |

This page does not form part of the statutory financial statements